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Case Number: 25STCV01976 Hearing Date: September 17, 2026 Dept: 224

Hogan v. General Motors, LLC

TENTATIVE RULING

The demurrer is OVERRULED in part and SUSTAINED with LEAVE TO AMEND in part. Plaintiffs shall file their Amended Complaint within 20 days.

The Case Management Conference is continued to February 18, 2027 at 8:30 a.m.

ANALYSIS

Introduction

On January 24, 2025, Plaintiff filed a Complaint arising out of Plaintiff's warranty contract with Defendant General Motors LLC ("GM") regarding a 2023 Cadillac XT5, VIN 1GYKNCR42PZ174962 ("Subject Vehicle").

On March 3, 2026 Plaintiffs filed a First Amended Complaint.

On April 21, 2026 Defendant filed the instant Demurrer to Plaintiff's FAC.

No opposition has been filed.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP §§ 430.41)

The Declaration of Sarah Perez, executed on April 21, 2026, sets forth Defendant's counsel meet and confer efforts and attempts to resolve the disputes informally by telephone. The Court finds that the parties conferred as required.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

Fifth Cause of Action: Fraudulent Inducement – Concealment

Duty to Disclose

Defendant argues that Plaintiffs have not pled a transactional relationship between GM and Plaintiff which gives rise to a duty to disclose.

"There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts." (Id. at p. 311.)

"[O]ther than the first instance, in which there must be a fiduciary relationship between the parties, the other three circumstances in which nondisclosure may be actionable presuppose the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. . . . A relationship between the parties is present [only] if there is some sort of transaction between the parties. (Hoffman v. 162 North Wolfe LLC (2014) 228 Cal.App.4th 1178, 1187; see Nissan Motor Acceptance Cases (2021) 63 Cal.App.5th 793.) "Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large." (Bigler-Engler, supra, (2017) 7 Cal.App.5th at 312.)

Here, Plaintiffs have alleged that Defendant issued warranties directly on Plaintiffs' vehicle, and the Subject Vehicle was purchased at GM's authorized retail dealership Three-Way Chevrolet Co., in Bakersfield, California (FAC, ¶¶ 6-7.) Thus, a transactional relationship exists pursuant to Dhital, wherein the court found that the plaintiffs' allegations were sufficient to establish a relationship requiring the manufacturer to disclose known defects. There, plaintiffs bought the car from a Nissan dealership, and Nissan backed the car with an express warranty. The court noted that Nissan's authorized dealerships were its agents for the purposes of selling Nissan vehicles to consumers (Dhital v. Nissan North America, Inc., 84 Cal.App.5th 828 (2022)).

Further, the claim is based on both Defendant's superior knowledge and Defendant's knowing and intentional concealment (Id. ¶¶ 79-86). Plaintiffs have alleged Defendant had exclusive knowledge of, failed to disclose and concealed the existence of the transmission defect in order to ensure Plaintiff's purchase of the Subject Vehicle. (Id.)

A duty to disclose has been pled.

Defendant's demurrer is OVERRULED on this ground.

The Economic Loss Rule

Defendant further argues that the Economic Loss Rule bars Plaintiffs' fifth cause of action.

The economic loss rule posits that a purchaser of a product that does not live up to the buyer's expectations can only recover in contract and not tort, "unless [the purchaser] can demonstrate harm above and beyond a broken contractual promise." (Food Safety Net Services v. Eco Safe Systems USA, Inc. (2012) 209 Cal.App.4th 1118, 1130.) A tort claim for fraud must be sufficiently independent from a breach of contract claim for which the plaintiff suffered economic loss. (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 991.)

The Court of Appeal in Dhital addressed Nissan's assertion that, under Robinson Helicopter, the Buyer's cause of action is barred pursuant to the Economic Loss Rule because the cause of action concerns fraudulent concealment (as opposed to affirmative misrepresentations). The Court ultimately held that "[u]nder California law, the economic loss rule does not bar plaintiffs' claim here for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court, and plaintiffs allege fraudulent conduct that is independent of Nissan's alleged warranty breaches." (Dhital v. Nissan N. Am., Inc. (2022) 84 Cal.App.5th 828, 843, citing Robinson Helicopter, supra 34 Cal.4th at 989–90.)

In Rattagan v. Uber Techs. (2024) Inc., 17 Cal. 5th 1 (Rattagan), the California Supreme Court addressed the question left unanswered in Robinson Helicopter regarding the applicability of the economic loss rule in the context of a fraudulent concealment claim, holding that "an independent fraudulent concealment tort may arise during an ongoing contractual relationship." (Id. at p. 19 [emphasis original].)

Framed more specifically, the court stated:

"Can a plaintiff assert an independent claim of fraudulent concealment in the performance of a contract? The answer to this question is also yes. A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement."

(Rattagan, supra, 17 Cal. 5th 1 at p. 38.)

In other words, as long as the plaintiff can establish all the required elements of the cause of action independently of the parties' contractual rights and obligations and can demonstrate an exposure to risks of harm beyond those reasonably expected as a result of a contractual breach, then a cause of action for concealment may lie. (Ibid.) As stated in Rattagan, "it has long been the rule that where a contract is secured by fraudulent representations, the injured party may elect to affirm the contract and sue for the fraud." (Id. at p. 41.)

Plaintiffs' fifth cause of action alleges Defendant was aware and knew that the 9-speed transmission in the Vehicle was defective but failed to disclose this fact to Plaintiffs prior to, at the time of sale, and thereafter (FAC ¶¶ 82-84), thereby alleging a claim for fraudulent concealment rather than affirmative representations. (See Dhital at p. 841 ["independence is present in the case of fraudulent inducement (whether it is achieved by intentional concealment or by intentional affirmative misrepresentations), because a defendant's conduct in fraudulently inducing someone to enter a contract is separate from the defendant's later breach of the contract or warranty provisions that were agreed to."; finding the economic loss rule did not preclude vehicle buyers' fraudulent inducement-concealment claim against the vehicle manufacturer, where the buyers' allegations concerned fraudulent conduct before the sale, which was therefore separate from the manufacturer's performance under the contractual or warranty provisions.]).

Here, the Court is guided by *Dhital* and concludes Plaintiffs' fifth cause of action is not barred by the Economic Loss Rule. As stated in *Dhital*, "the economic loss rule does not bar plaintiffs' claim . . . for fraudulent inducement by concealment." (*Dhital*, *supra*, at p. 9.)

As such, the economic loss rule does not bar Plaintiffs' fraud cause of action as a matter of law.

The demurrer is OVERRULED on this ground.

Specificity

However, Plaintiffs must still plead the circumstances of fraudulent concealment with particularity. (*Rattagan v. Uber Techs., Inc.* (2024) 17 Cal.5th 1, 43–44.)

"The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact. [Citation.] [Citation.]" (*Hambrick v. Healthcare Partners Medical Group, Inc.* (2015) 238 Cal.App.4th 124, 162.)

Ordinarily, "fraud must be pleaded specifically; general and conclusory allegations do not suffice." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.). "This particularity requirement necessitates pleading facts which show how, where, to whom, and by what means" the alleged fraud occurred. (*Id.*) The purpose of the particularity requirement is to "separate meritorious and nonmeritorious cases, if possible in advance of trial." (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184.)

California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim. (*Rattagan v. Uber Techs., Inc.*, 17 Cal. 5th 1, 43–44, 553 P.3d 1213, 1240 (2024) citing *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 347, 134 Cal.Rptr. 375, 556 P.2d 737; *Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 248, 129 Cal.Rptr.3d 874; *Cansino v. Bank of America* (2014) 224 Cal.App.4th 1462, 1472, 169 Cal.Rptr.3d 619.) In *Rattagan*, the court held that it had to determine whether the plaintiff alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties' contract. If the duty allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts, as the plaintiff alleged there, the Court found that the complaint also had to include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission. "[M]ere conclusory allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[] ... are insufficient for the foregoing purposes." (*Goodman*, at p. 347, 134 Cal.Rptr. 375, 556 P.2d 737.) (*Rattagan v. Uber Techs., Inc.*, 17 Cal. 5th 1, 43–44, 553 P.3d 1213, 1240 (2024)).

Defendant argues that Plaintiffs have not pled this cause of action with the requisite specificity. Namely, Defendant argues that Plaintiffs (1) failed to allege the contents of the omitted facts; (2) failed to present allegations establishing that GM knew of those "facts" and concealed them at the time of purchase; (3) failed to identify by name any person who made any alleged omissions when they purchased the Subject Vehicle; (4) failed to establish the manner in which Plaintiffs learned about the "behaviors" they attribute to GM; and (5) failed to allege the advertisements materials where GM could have disclosed the allegedly omitted "facts" that Plaintiffs reviewed and relied upon in purchasing the Subject Vehicle.

GM relies on the general rule for pleading fraud against a corporation, which requires a plaintiff to allege the identity of the speaker, their authority, to whom they spoke, what they said, and when it was said. (See, e.g., *Tarmann v. State Farm Mut. Auto Ins. Co.* (1991) 2 Cal.App.4th 153, 157.) However, this rule is inapplicable to a claim of fraudulent concealment. (*Alfaro v. Community Housing Improvement System & Planning Association, Inc.* (2009) 171 Cal.App.4th 1356, 1384 ("How does one show 'how' and 'by what means' something didn't happen, or 'when' it never happened, or 'where' it never happened?").)

Instead, such details, in the context of a fraudulent concealment claim, “are properly the subject of discovery, not demurrer.” (Id. at 1384-85.)

Here, the Court agrees that Plaintiff does not plead the fraudulent concealment claim with the requisite particularity, though only for reason number five. As discussed above, the Tarmann factors GM contends Plaintiffs omitted – the identity of the speaker, their authority, to whom they spoke, and what was said and when – do not govern a claim sounding in concealment rather than affirmative misrepresentation. (Alfaro, supra, 171 Cal.App.4th at 1384.) The claim is instead deficient because the FAC fails to plead the factors required for a concealment claim under Rattagan. Although Plaintiff alleges that GM had superior knowledge of the defect through pre-production and post-production testing data; early consumer complaints about the Transmission Defect; aggregate warranty data; testing conducted in response to these complaints; as well as warranty repair and part replacements data, (FAC ¶ 79) the pleading does not specify when, where, or how GM’s alleged omissions occurred, nor does it identify which advertisements, marketing materials, or representations Plaintiffs reviewed, when they reviewed them, or how those materials were prepared or disseminated by GM as opposed to the dealership. Further, Plaintiffs do not allege the general point at which disclosure should or could have been made.

Further, while Plaintiffs allege that GM’s concealment induced them to purchase the vehicle and that they would not have done so had they known of the defect (FAC ¶ 85), the FAC does not allege any facts establishing Defendant’s intent to defraud.

The demurrer is SUSTAINED on this ground, with leave to amend.

Conclusion

The demurrer is SUSTAINED with leave to amend. Plaintiffs shall file their Amended Complaint within 20 days.

The Case Management Conference is continued to February 18, 2027 at 8:30 a.m.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at SMCDept224@lacourt.org indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the ten